4.1 Macroeconomics - GDP and Unemployment

Video: Macroeconomics (Crash Course Economics)

What Is Macroeconomics?

Macroeconomics is the study of the _____. Macroeconomists study the big stuff, like economic output, unemployment, inflation, interest rates, and government policies.

Macroeconomics is a fairly new subject. Economists did not fully see the need to measure the overall economy until the Great Depression in the 1930s.

Economics is not a traditional science because it is nearly impossible to control all the different variables. Like other social sciences, it studies people, and people can be unpredictable.

Three Goals and Three Measurements

Policy Makers' Goal	How Economists Measure It
Keep the economy growing over time	_____ (GDP)
Limit unemployment	The _____
Keep prices stable	The inflation rate

Gross Domestic Product (GDP)

GDP is the value of all _____ produced within a country's border in a specific period of time, usually a year.

Buying a used car, stocks, or another company does not count, because nothing new was produced.
GDP often leaves out illegal activity and household production (a plumber fixing his own water heater).
GDP is measured in dollars, not in the raw number of things produced.

_____ is GDP not adjusted for inflation. _____ is GDP adjusted for inflation.

Officially, a _____ is when two successive quarters (six months) show a decrease in Real GDP. A _____ has no technical definition; it is a severe recession.

Unemployment

Unemployment rate = number of unemployed / number of people in the _____ x 100.

People who give up looking for a job are called _____. They are no longer counted as unemployed. People working part time who want better jobs are underemployed.

Type of Unemployment	What It Means
	Temporarily unemployed or between jobs
	No demand for that type of labor (includes workers replaced by machines)
	Unemployment due to a recession

An economy is at full employment when there is only frictional and structural unemployment. This is called the _____ (usually 4 to 6 percent in the U.S.).

GDP growth and the unemployment rate are inversely related: when GDP rises, unemployment falls.

Stable Prices

The goal is to avoid rapid _____ (rising prices) and excessive _____ (falling prices).

Inflation is measured by tracking the prices of commonly purchased items, called a market basket.

Too much inflation decreases the _____ of money. Deflation discourages spending because people expect prices to fall more, which can become a vicious cycle.

The Business Cycle

Economies expand and contract over time. This process of booms and busts is called the _____.

The four components of GDP are _____, business spending (called investment), government spending, and net exports. In the U.S., consumers account for about 70% of GDP.

Some economists think the government should help during a recession by increasing spending or cutting taxes. A possible drawback is debt; economists disagree about how big a problem that is.

Think About It

The video says your livelihood and future will be shaped by what happens in the economy. Which of the three goals (growth, low unemployment, stable prices) affects your family most right now, and why? _____